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Kate R. Morgan, Clerk
Kentucky Court of Appeals

COMMONWEALTH OF KENTUCKY
COURT OF APPEALS
CASE NO. 2024-CA-0556-MR

LOUISVILLE METROPOLITAN GOVERNEMNT APPELLANT

v. APPEAL FROM JEFFERSON CIRCUIT COURT
HON. MELISSA LOGAN BELLOWS
CIVIL ACTION NO. 21-CI-006281

CLINT CHEMICAL AND JANITORIAL SUPPLIES, INC. APPELLEE

REPLY BRIEF FOR APPELLANT
LOUISVILLE/JEFFERSON COUNTY METROPOLITAN GOVERNMENT

Respectfully submitted,

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/s/ Richard Elder__________________
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CERTIFICATE OF SERVICE

I certify that on the 15th day of October, 2024, Appellant Louisville/Jefferson County Metropolitan Government's *Reply* Brief was filed via the Electronic Filing System to the Commonwealth of Kentucky Court of Appeals, Kate Morgan, Clerk, 669 Chamberlain Ave., Suite B, Frankfort, KY 40601; and copies were electronically served and/or mailed, via First Class Mail, postage prepaid upon: Hon. Melissa Logan Bellows, Judge, Jefferson Circuit Court, Division Seven, 700 West Jefferson Street, Louisville, KY 40202; and Hon. Oliver H. Barber, Jr., 802 Lily Creek Rd., Louisville KY, 40299; I hereby further certify that the record on appeal has been returned to the Clerk of the Jefferson Circuit Court.

/s/ Richard Elder____________________
Richard Elder

I. METRO'S SOVEREIGN IMMNUITY WAS NOT WAIVED FOR A TORT-BASED GOOD FAITH AND FAIR DEALING CLAIM.

Plaintiff's sole argument – raised for the first time on appeal – for why its good faith and fair dealing claims should be allowed to proceed is a half-page argument that ignores any distinction between contract claims and derivative tort claims. (*Brief for Appellee* at p. 3).[1] Plaintiff correctly points out the Kentucky Model Procurement Code ("KMPC") waives sovereign immunity for contract claims with the Commonwealth of Kentucky. *See* KRS 45A.245. This waiver is not limited to contract claims entered into pursuant to the KMPC. *University of Louisville v. Rothstein*, 532 S.W.3d 644, 647 (Ky. 2017). However, it is recognized as a limited one. *Id.* at FN 2 (citing *Campbell v. University of Louisville*, 862 F.Supp. 2d 578, 585 (W.D. Ky. 2012)).[2]

Plaintiff's exact argument – that KRS 45A.245 also waived state sovereign immunity for claims of the breach of implied the covenant of good faith and fair dealing – was explicitly considered and rejected by this Court in *University of Louisville v. Bohm*, No. 2017-CA-00935-MR; 2019 WL 1422912 (Ky. App. March 29, 2019).[3] In *Bohm*, this Court held that a claim for the breach of the implied covenant of good faith and fair dealing was based in tort, for which the sovereign state cannot be held liable, despite finding that Bohm had a valid and enforceable contract with the University. *Id.* at *6. The Court explicitly rejected Bohm's argument that the KMPC imposed a duty of good faith and fair dealing on the state beyond the context of a construction contract, or that KRS 45A.245

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[1] Plaintiff never actually opposed the motion to dismiss its good faith and fair dealing claim, and expressly told the Court through counsel it believed that claim was dismissed. (*See Brief for Appellant* at pp. 3-4)

[2] As previously noted, Plaintiff's claims under the KMPC were dismissed with prejudice for failure to state a claim for relief by a separate trial court and Plaintiff never appealed the dismissal. *(Brief for Appellant* at FN 3).

[3] This unpublished case is cited as persuasive authority pursuant to RAP 41.

waived immunity for that claim: “[w]e find Bohm’s reliance on the KMPC for support of his claim of the breach of the covenant of good faith and fair dealing in an employment claim unpersuasive.” *Id.* Further, the *Bohm* opinion was decided after *Rothstein*, and cites it extensively. *Id.* Plaintiff’s reliance on *Rothstein*, without addressing *Bohm*, is therefore inapposite. Indeed, Plaintiff fails to mention *Bohm* at all, even to argue why it was incorrectly decided.

This Court’s rationale in rejecting this type of claim in *Bohm* was correct. Courts will find a waiver of sovereign immunity only where stated “by the most express language or by such overwhelming implications from the text as [will] leave no room for any other reasonable construction.” *Withers v. University of Kentucky*, 939 S.W.2d 340, 346 (Ky. 1997)(internal citations omitted). Thus, while KRS 45A.245 and *Rothstein* delineate a waiver of sovereign immunity as it relates to breach of contract actions, that limited statutory waiver cannot be read to expressly include claims for the breach of implied covenants grounded in tort law. *Id.* Further, KRS 45A.245 cannot be said to extend that waiver to the breach of an implied covenant by such overwhelming implication from its text as to leave no other room for reasonable construction. *Id.*

Because there is no waiver of Metro’s sovereign immunity from tort-based claims derived from a contract, and because attempts to have such a waiver recognized were rejected, Metro remains immune from Plaintiff’s claims for breach of the implied covenant of good faith and fair dealing. The trial court therefore erred in allowing those claims to go to the jury, and reversal is appropriate.

CONCLUSION

Filed

For the reasons set forth above, and in its initial brief to the Court, Metro respectfully requests that this Court reverse the trial court and remand this case with instructions to bar the asserted tort claims for which Metro is immune.

Respectfully submitted,

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